

CUI

Control No: 24-047

Contractor: Saudi Telecom Company (STC)

Service: OPM-SANG/USA-MAG Commercial Cellular and Data Services

Est Dollar Value [REDACTED]

**JUSTIFICATION REVIEW DOCUMENT
FOR JUSTIFICATION AND APPROVAL FOR OTHER THAN
FULL AND OPEN COMPETITION**

Service: Commercial Cellular and Data Services in support of the Office of the Program Manager - Saudi Arabian National Guard (OPM-SANG)/ U.S. Army - Military Assistance Group (USA-MAG)

Authority: 41 U.S.C. 1901

Prepared by: Amanada L. Smith PH: 520-692-9860
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Contracting Officer: Holly A. Gibbs PH: 520-693-1337
Contracting Officer
Email: Holly.a.gibbs3.civ@army.mil

Technical:

Requirements:

Reviews: I have reviewed this justification and find it adequate to support other than full and open competition.

Program Manager:

Legal Advisor:

Controlled by: CCRI-VOB
CUI Category: SSEL
Limited Dissemination Control: DL ONLY
POC: Holly A Gibbs, 520-693-1337

CUI

Source Selection Information (See FAR 2.101 and 3.104)

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**Department of Army
Justification and Approval for Other than
Full and Open Competition**

1. Contracting Activity: U.S. Army Contracting Command – Rock Island (ACC-RI) Rock Island Arsenal, Rock Island, IL 61299-8000.

2. Description of Action: The Office of the Program Manager - Saudi Arabian National Guard (OPM-SANG) and U.S. Army - Military Assistance Group (USA-MAG) requests a firm-fixed-price, indefinite delivery, indefinite quantity (IDIQ) contract with Saudi Telecom Company (STC). ACC-RI projects award for [REDACTED] and will obligate Foreign Military Sales funds. An acquisition plan is not required because this procurement does not meet the threshold at Defense Federal Acquisition Regulation Supplement (DFARS) 207.103(d)(i)(B).

The Government did not compete the requirement prior to this action, under the authority of Federal Acquisition Regulation (FAR) 6.302-1. That justification did not include a paragraph to increase competition; therefore, the approval level of this Justification and Approval (J&A) will be a level above the approval authority of the previous J&A in accordance with (IAW) DFARS Procedures, Guidance, and Information (PGI) 206.304(a)(S-70)(ii).

3. Description of Supplies/Services: OPM-SANG is a Security Assistance Organization of the U.S. Army and executes the Army's security assistance and foreign military sales program. OPM-SANG uses military and civilian teams assigned to Saudi Arabia to provide advice and assistance in modernizing the Ministry of the National Guard (MNG). MNG is a cabinet-level ministry in the Kingdom of Saudi Arabia (KSA), comprised of Saudi Arabian military. It plays a crucial role in security and national defense matters of KSA. OPM-SANG works alongside the U.S. Military Training Mission (USMTM) to train, advise, and assist the Saudi Arabian Armed Forces (MNG) in defense of shared interests to ensure peace and stability in the Middle East.

USA-MAG coordinates security cooperation efforts to train, advise, and assist the Saudi Arabian Ministry of Interior (Saudi Arabia) and Presidency of State Security in protecting critical energy infrastructure sites and counter-terrorism as well as train its aviation program through military exercises and professional military education in order to promote regional domestic security and protect common interests of the two countries while strengthening strategic partnership.

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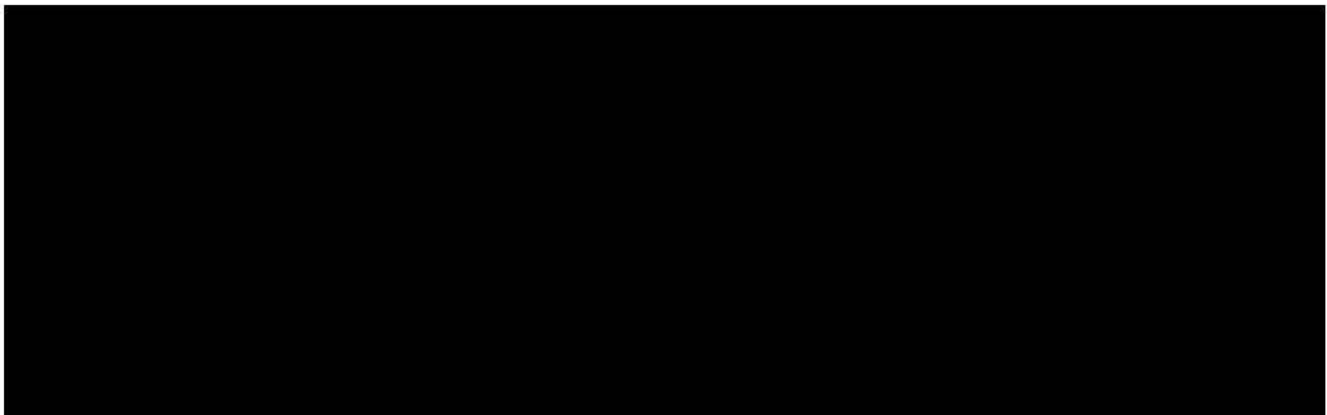
Source Selection Information (See FAR 2.101 and 3.104)

The contractor shall provide the necessary equipment and materials to provide cellular telephone and high-speed 4th Generation (4G)/5th Generation (5G)/Long Term Evolution (LTE) wireless internet data services, local and long-distance lines, and mobile voice and data roaming through a local carrier as well as fulfilling Operations Security requirements as mandated in Policy Letter PL-02-01, Force Protection, to OPM-SANG and USA-MAG soldiers and civilians. The equipment and materials are to include but not limited to Subscriber Identity Module (SIM) cards, cell towers, cellular devices, hotspots, tablets, and replacement of SIM cards and phones/tablets. The Government shall be permitted to use devices already owned by the Government, purchased by the Government after award of this IDIQ contract, or during the performance period of the IDIQ contract. Devices are not required to be purchased under this contract; however, the contractor shall provide services to any device that works within KSA.

[REDACTED]
[REDACTED]
[REDACTED]
include cellular telephone and highspeed 4G/5G/LTE wireless internet data services that cover [REDACTED] MiFi Routers [REDACTED] iPad Pro M2 Tablets, an [REDACTED] iPhone [REDACTED] Pros as well as OPM-SANG and USA-MAG devices and life cycle purchases of a projected [REDACTED] iPhones

[REDACTED]
[REDACTED] OPM-SANG and USA-MAG plan to compete these purchases full and open, outside of the discounted prices STC offers for maintaining service on individual devices for a [REDACTED]

[REDACTED]
[REDACTED] OPM-SANG and USA-MAG estimates a dollar value of [REDACTED], based on market research, website searches, and previous purchases. The estimated totals are below:



4. Authority Cited: 41. U.S.C. 1901, as implemented by Federal Acquisition Regulation (FAR) 13.501(a)(1)(ii), Sole source under the simplified procedures for certain commercial items.

5. Reason for Authority Cited:

As described in FAR 13.501(a)(1)(i), the contracting officer may conduct sole source acquisitions only if the need to do so is justified in writing and approved at the levels specified in FAR 13.501(a)(2).

On 01 March 2024, a compliance review was completed on call order, W519TC-24-F-2089 for the STC mobile phone and data service Blanket Purchase Agreement (BPA), W90BRJ-22-A-0003. In those findings, attention was drawn to FAR 13.303-5(d), that states, "If, for a particular purchase greater than the micro-purchase threshold, there is an insufficient number of BPAs to ensure maximum practicable competition, the contracting officer shall- (1) Solicit quotations from other sources (see 13.105) and make the purchase as appropriate; and (2) Establish additional BPAs to facilitate future purchases if- (i) Recurring requirements for the same or similar supplies or services seem likely; (ii) Qualified sources are willing to accept BPAs; and (iii) It is otherwise practical to do so. As there are no additional sources that can provide commercial cellular and data coverage in KSA, it was determined to be in the Government's best interest to establish a sole source IDIQ contract with STC instead.

STC possesses the unique capabilities and expertise to meet all requirements of the Performance Work Statement (PWS). It is the only primary carrier in the KSA that is carrier agnostic, meaning the devices/SIM cards are able to utilize multiple networks and seamlessly integrate without interruption, and that maintains the cellular towers and infrastructure required to provide 4G/5G coverage for the OPM-SANG Al Nakhla offices in Riyadh and MNG installations (Dirab Airfield in Riyadh; Dammam Airfield in Dammam, Jeddah; and Highway 80 Dammam Road, used as primary travel between the airfield locations). STC owns the network equipment, provides the geographical coverage for all three of the American (KSA-based) Armed Forces (OPM-SANG, USA-MAG, and USMTM), and has the capability to provide technical support in the English language 24-hours/7-days a week.

[REDACTED]

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Est Dollar Value [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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Source Selection Information (See FAR 2.101 and 3.104)

[REDACTED]

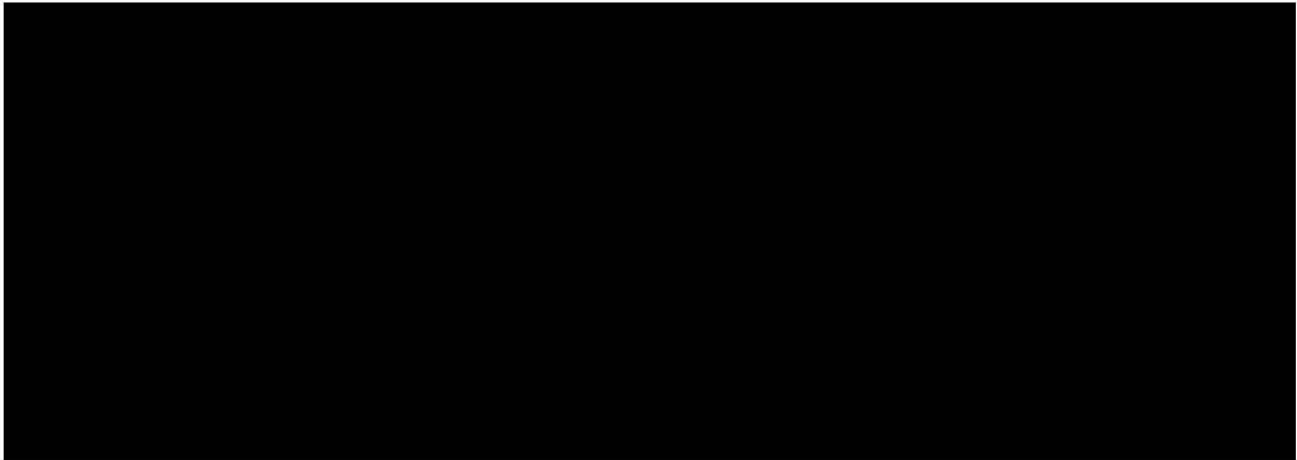
6. Efforts to Obtain Competition: ACC-RI shall publish the notices required by FAR 5.201. Because this is a sole source action, effective competition is not applicable. The Government will achieve subcontracting competition because the contract will include FAR clause 52.244-5, Competition in Subcontracting, which states that the contractor shall select subcontractors on a competitive basis to the maximum practicable extent.

7. Actions to Increase Competition: To date, there are no additional network carriers capable of providing the required geographic coverage for the OPM-SANG installations. However, ACC-RI intends to continue conducting market research by monitoring the market and geographic coverage of the OPM-SANG locations to determine if additional network carriers can provide the required coverage in the future.

8. Market Research: Army Federal Acquisition Regulation Supplement Appendix EE, Government Purchase Card Operating Procedures Chapter 9-5 mandates the use of the U.S. Navy's Spiral 3 Contracts for cellular services such as cellular phone, wireless devices, and wireless service purchases, however, utilization of the Navy Spiral 3 contracts for this requirement is not authorized as all contract performance will be outside the continental United States.

IAW DFARS 205.205-71, DFARS 206.302-1(d), and DFARS PGI 206.302-1(d), ACC-RI posted a Request for Information, to SAM.gov on 09 April 2024 through 04 May 2024. Three contractors responded and the results of the posting were as follows:

[REDACTED]



9. Interested Sources: To date, no other sources have expressed a written interest in this requirement.

10. Other Facts:

a. Procurement History

Previous purchases for this requirement were awarded competitively to Etihad Etisalat Company (Mobily), a major Saudi provider. Coverage areas are dependent upon cellular tower site agreements with the Government of the KSA throughout the country, which Mobily lacked; this resulted in substandard service, dropped calls, lack of internet coverage in required locations, and poor support by Mobily. Since 2017, this requirement has been sole sourced to STC, as STC is the only company with cell phone towers geographically located that cover OPM-SANG sites in Dammam, Al Hasa, Jeddah, and Riyadh, making them solely capable of meeting the requirement.

Contract: W90BRJ-22-A-0003

Contractor: Saudi Telecom Company

Award Date: 01 April 2022

Competitive Status: Call Orders were awarded Sole Source, only one responsible source

Authority: FAR 6.302-1

Contract: W90BRJ-19-A-0010

Contractor: Saudi Telecom Company

Award Date: 07 April 2019

Competitive Status: Sole Source, only one responsible source

Authority: FAR 6.302-1

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Est Dollar Value [REDACTED]

Contract: W90BRJ-17-P-0026

Contractor: Saudi Telecom Company

Award Date: 15 September 2017

Competitive Status: Sole Source, only one responsible source

Authority: FAR 6.302-1

Contract: W90BRJ-12-A-0004

Contractor: Etihad Etisalat Company (Mobily)

Award Date: 01 January 2012

Competitive Status: Full and Open

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Est Dollar Valu [REDACTED]

11. Technical Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.

12. Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost or price to the Government for this contract action will be fair and reasonable based upon a price analysis and by implementing FAR 15.403-3, Requiring data other than certified cost or pricing data. IAW FAR 15.403-1(b)(3), certified cost or pricing data will not be required as this is a commercial service.

Date: 17 July 2024

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Holly Gibbs
Contracting Officer

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Date: 17 July 2024

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Holly Gibbs
Contracting Officer

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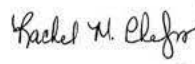
Est Dollar Value [REDACTED]

Approval

Based on the foregoing justification, I hereby approve the procurement of commercial cellular and data services on an other than full and open competition basis pursuant to the authority of 41 U.S.C. 1901, subject to availability of funds, and provided that the services or supplies herein described have otherwise been authorized for acquisition.

Date: 24 July 2024

Signature:



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RACHEL M. PHELPS
Competition Advocate

CUI

Source Selection Information (See FAR 2.101 and 3.104)